

Daily Need to Know

Wednesday, 19 August 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED CLOSE, 16:00 ET TUE 18 AUG			
S&P 500	7,691.76	▼ 53.30 · -0.69%	Range 7,688.63-7,713.95. Closed 3.13 points off the low — bottom 12% of a 25-point range. 1.6% below the 7,816.70 52-week high.
Nasdaq Composite	26,289.71	▼ 355.20 · -1.33%	Closed in the bottom 15% of the day's range. Volume 6.47bn vs 7.24bn 10-day average — 89% , a light-volume decline.
Dow Jones	53,343.40	▼ 116.38 · -0.22%	Six times smaller a fall than the Nasdaq. The Dow's lack of semiconductor weight <i>was</i> the day's story.
Russell 2000	3,017.89	▼ 39.65 · -1.30%	Closed 0.34 points off its low — effectively on the low, the worst close-position of any index on the board.
Philadelphia SOX	11,992.47	▼ 628.53 · -4.98%	The day. Low 11,828.46; now 18.2% below the 14,655.29 52-week high. No memory-pricing or export-control catalyst — see \$2.
INDEX FUTURES — LIVE, GLOBEX REOPENED 18:00 ET; CAPTURED 06:07 GMT+8			
ES (E-mini S&P)	7,714.00	▼ 54.75 · -0.71%	Settled 7,768.75. Live print carries a +22.2 basis to cash. Volume 1.22m = 116% of the 10-day average.
NQ (E-mini Nasdaq)	29,586.00	▼ 510.00 · -1.69%	Settled 30,096. Session low 29,514 — the reopen is holding just above it. Volume 119% of average.
YM (E-mini Dow)	53,403	▼ 141 · -0.26%	Settled 53,544. The only contract whose fall stayed inside a quarter-percent. Volume 110% of average.
RTY (E-mini Russell)	3,026.40	▼ 38.50 · -1.26%	Settled 3,064.90. Trading 8.5 points above the cash close — small caps opened the overnight marginally bid.
US TREASURY YIELDS — LIVE, CAPTURED 06:07 GMT+8			
10-year	4.708%	▼ 1.8 bp	Intraday high 4.748% — a fresh 52-week high , then backed off. Sits at 65% of Hedgeye's 4.63-4.75 band.
30-year	5.286%	▼ 2.5 bp	High 5.337% , also a 52-week high and reported as the highest since 2007. This, not chips, set the tone.
5-year	4.367%	▼ 1.1 bp	Well inside its 3.483-4.511 annual range. The belly is not where the stress is.
2-year	4.177%	▼ 0.5 bp	Captured directly, not inferred. 10s2s = +53.1bp , off Tuesday's +54.4bp but near cycle steepes.
13-week bill	3.797%	▲ 0.7 bp	The <i>only</i> point on the curve that rose. 91bp below the 10-year and 149bp below the 30-year.
ENERGY — LIVE FUTURES, CAPTURED 06:07 GMT+8			
WTI crude (CL1!)	\$84.06	▼ 0.44 · -0.52%	Settled a touch lower after tagging 85.07. Hedgeye's TREND signal flipped neutral → bullish overnight; 69% of band.
Brent (BZ1!)	\$91.02	▲ 0.15 · +0.17%	Held green while WTI slipped — the Brent-WTI spread widened to \$6.96 , a Hormuz-shaped premium.
Natural gas (NG1!)	\$2.776	▲ 0.086 · +3.20%	The best percentage gain on the board. Still bearish TREND at Hedgeye and 77.6% of a 2.52-2.85 band.
RBOB gasoline	\$3.0081	▲ 0.0305 · +1.02%	Refined products, not crude, are where the shock is: diesel cracks reportedly cleared \$100/bbl for the first time on record.
METALS — SPOT LEVELS (THE SERIES HEDGEYE NAMES), LIVE AT 06:07 GMT+8			
Gold (spot)	\$4,341.82	▼ 1.19% (futures)	Futures settled 4,420.60, -53.10. Spot sits at 33.1% of the 4,276-4,475 band — on futures it would read 72.7%. See \$18.
Silver (spot)	\$63.3835	▼ 3.31% (futures)	The worst major commodity of the session. Futures 64.037, -2.194. Spot at 27.7% of a 62-67 band.
Copper (spot)	\$6.4125	▼ 1.87% (futures)	Below Hedgeye's 6.45 floor — the only instrument in the set outside its range. Measured on futures it would look safely inside.
FX, VOLATILITY AND CRYPTO — LIVE AT 06:07 GMT+8			
DX	99.646	◆ +0.07%	Pinned mid-band (28% of 99.44-100.17) with a bearish Hedgeye TREND, yet both band ends were lifted overnight.
USD/JPY	159.585	◆ -0.01%	Back above 159 — the joint US-Japan yen-buying operation that drove ¥164→¥155 has fully round-tripped. See \$3.

ASSET	LAST	CHANGE	NOTE
USD/KRW	1,412.29	▼ 2.91 · -0.21%	Won firmer despite a 1.55% KOSPI fall. Ties within 0.5 won to the 1,411.8 Seoul close — a clean cross-check.
VIX	15.85	▲ 0.67 · +4.41%	A 4.4% rise that still leaves vol at 15.85 . At 83% of its band with a bearish TREND — pressing the ceiling, not breaking it.
Bitcoin	\$64,521.67	▲ 46.10 · +0.07%	The one genuinely 24-hour row. 48.9% below its 126,230 52-week high and only 11.8% above the 57,737 low.

▲ up · ▼ down · ◆ little changed. Colour follows direction of the instrument, not of a position. On yield rows the arrow shows the yield move; green marks a falling yield.

Reconciliation: cash index closes are internally consistent (close + change = prior close) for all five equity rows; futures rows tie to prior settle by construction. Yahoo Finance blanket-429'd this run, so every figure above is **single-sourced to TradingView** — see §18. FX, spot-metal and crypto change columns measure from the 17:00-18:00 ET session roll, not the full Tuesday move; the levels are live, the percentages are minutes old.

TL;DR

Semiconductors fell **4.98%** while the Dow fell **0.22%**, healthcare rose **1.60%** and energy rose **1.76%**. That combination is not risk-off. It is a **duration event**: the 30-year touched **5.337%** and the 10-year **4.748%**, both fresh 52-week highs, and the market sold the longest-duration equity it owns to pay for it.

Three things are new since last night. Hedgeye's oil TREND signal **flipped neutral → bullish**. Copper spot broke **below** its risk-range floor. And the S&P now sits at just **11%** of its own band, 16 points off the floor.

Everything closed on or near its low, on **below-average cash volume** but **above-average futures volume** — index-level selling, not broad distribution. The July FOMC minutes land at **02:00 GMT+8 Thursday**, into a market pricing roughly a 30% chance the next move is a *hike*.

2 The big picture — what it means

- This was a duration event wearing a semiconductor costume.** The 30-year Treasury yield printed 5.337% and the 10-year 4.748%, both 52-week highs, and the equity market did the arithmetic it always does: the assets whose value sits furthest out in time repriced hardest. SOX -4.98%, Nasdaq -1.33%, Dow -0.22%. Daniela Hathorn of Capital.com put the mechanism plainly on the day — the long end is responding to "*persistent inflation risks, heavy government borrowing and growing competition for capital — including debt issuance associated with the AI investment boom*", which "*creates an uncomfortable environment for equities because financial conditions can tighten even without the Fed raising rates.*"
- Nothing broke in the chips themselves, and that is the uncomfortable part.** No memory-pricing datapoint, no guidance cut, no export-control headline landed on Tuesday. What landed was Anthropic telling investors its annualised revenue reached **\$65bn** at the end of July — a vast number that nonetheless undershot the buy-side whisper, with Gavin Baker saying publicly he had heard north of \$80bn — and a *Wall Street Journal* analysis putting **~\$3 trillion** of off-balance-sheet AI commitments across nine large technology companies, against roughly **\$600bn** of reported capex and about triple their disclosed leases and long-term borrowings. Micron -7.0%, SanDisk -9.0%, Western Digital -7.4%, Intel -6.6%. When a group up 200-650% year-to-date reprices on sentiment rather than fundamentals, the position, not the business, is what moved.
- Breadth was better than the index, which tells you exactly where the selling was.** The equal-weighted S&P fell **0.45%** against the cap-weighted **0.68%** — a 22 basis-point gap in favour of the average stock. The NYSE Composite fell 0.36%. Seven of eleven sectors fell but four rose, and the four that rose are the four you would pick from a hat if you were told only that long yields had risen and oil was bid: energy, healthcare, staples, financials. This was rotation with a funding leg, not liquidation.
- The volume signature says index, not distribution.** S&P cash volume ran at **99%** of its ten-day average and the Nasdaq Composite at **89%** — below normal. Yet ES futures traded **116%** of average, NQ **119%**, RTY **117%**. Sellers reached for the index, not for the underlying. The exceptions are instructive: SMH at **164%** of average volume, SOXX at 138%, Meta at **184%**. Those are the three places where real stock changed hands.
- Hedgeye's oil signal flipped, and it is the cleanest new information in the whole set.** Light Crude moved from **neutral** to **bullish** TREND overnight and the entire band lifted — floor 75.25 → 76.99, ceiling 86.28 → 87.22. On the Macro Show, Keith McCullough placed the trigger above the **\$81 TRADE** and **\$83 TREND** levels and framed the August move as the shift out of July's Quad 4 disinflation into **Quad 3**, where inflation re-accelerates and yields rise. With WTI at \$84.06 the signal and the tape agree, which is rarer than it sounds.
- Copper broke its floor while gold held its band. Those two are not telling the same story.** Copper spot at **6.4125** sits **below** Hedgeye's 6.45 floor, and the band itself collapsed overnight — ceiling down 14 cents from 6.85 to 6.71. Gold spot at 4,341.82 sits comfortably at 33% of a band whose *floor rose* 73 points. Copper is the growth metal and it is failing; gold is the debasement metal and it is not. Read together they price a fiscal problem, not a demand boom — which is consistent with US federal debt crossing **\$40 trillion** this week, months earlier than forecast, on a July deficit of \$432bn and roughly \$1.4 trillion of annual interest cost.
- Bond volatility refused to confirm any of it.** The MOVE index closed at **74.98**, **down 0.86%** — below 75, near the quiet end of its 55.8-115.0 annual range — on a day the long bond made a nineteen-year high in yield. Equity

vol did move, but only to 15.85. A market that genuinely feared the long end would not price bond vol here. Either the rates market is complacent, or the equity market over-read a move the people who own the bonds regard as orderly. The July FOMC minutes at 02:00 GMT+8 Thursday are the next honest test of which.

3 Rates, currencies & commodities

- **The curve is doing the talking.** 10s2s at **+53.1bp**, down from +54.4bp on Tuesday's close but against a late-June trough of +23bp. McCullough's core rates expression is long IVOL as a steepener, and he described the spread on the Macro Show as "*around 50-55 basis points and at a new cycle high*" with room to widen substantially. The 30s10s segment adds another **57.8bp**.
- **Every point on the curve fell overnight except the bill.** 30-year -2.5bp, 10-year -1.8bp, 5-year -1.1bp, 2-year -0.5bp, 13-week +0.7bp. A bull flattening from the highs after an intraday bear steepening is a market that reached for the top of the range and did not find enough sellers to hold it there.
- **Long-end pressure is fiscal and imported, not policy.** A 30-year auction this month cleared near 5.22%, reported as the highest auction yield in roughly a quarter century. Japan is the second channel: the 10-year JGB is around **2.95%**, a three-decade high, on the Takaichi government's unfunded plan to cut the consumption tax on food from 8% to 1% for two years from April 2027 — approved unanimously by the LDP General Council — plus Reuters reporting the BOJ is eyeing a September hike at a faster cadence than its usual twice-yearly pace.
- **The yen intervention has round-tripped.** Japan's MoF confirmed a coordinated yen-buying operation with the US Treasury in early August; the US leg deliberately **sold euros, not dollars**, to avoid pressuring the Treasury market, and Japan's finance minister said future operations would be financed through the Fed's FIMA repo facility for the same reason. USD/JPY went ¥164 → ¥155 and is back at **159.585**. Whatever was bought, the level was not.
- **The dollar is going nowhere with conviction.** DXY 99.646, +0.07%, at 28% of a 99.44-100.17 band that Hedgeye still signals **bearish** on TREND — while lifting both ends of the band overnight. EUR/USD 1.15759, GBP/USD 1.35335, AUD/USD 0.70856 unchanged to four decimal places. USD/CNH 6.74593, within a whisker of its 6.7376 annual low.
- **Crude is a physical supply story and the products market is where it bites.** The US-Iran memorandum of understanding lapsed Monday without extension. Brent \$91.02, WTI \$84.06, and diesel cracks reportedly above \$100/bbl for the first time on record. Deutsche Bank's Jim Reid: with little sign of a deal, investors priced "*a more extended closure of the Strait of Hormuz and a longer stretch of higher oil.*"
- **Natural gas rose 3.20% into a bearish signal.** \$2.776 against Hedgeye's **bearish** 2.52-2.85 band, at 77.6% of it. Hot weather forecast through 28 August and Freeport LNG maintenance completing late month are the bull case; record Lower-48 production averaging 111.6 bcfd in August is the cap. Note that our captured level diverges from some public quotes near \$2.70 — see \$18.

4 Hedgeye — regime, risk ranges & the Quad path

MACRO DASHBOARD	READING	WHAT IT MEANS NOW
Current Quad	#Quad3	Growth slowing, inflation re-accelerating. Stagflation. The worst monthly Quad for Consumer Discretionary.
Quad path	3 → 1 → 2	Unchanged from the prior edition. Monthly Quads 1 and 2 hit in September and October; the US economy is modelled to re-accelerate into #Quad2 in Q4 2026 .
Live Early Look	18 Aug, 19:33 GMT+8	"#Quad3 Bonds, Oil, Consumer, etc." — Keith McCullough. Tonight's edition (~19:30 GMT+8) supersedes these bands.
Macro Show positions	18 Aug, 23:06 GMT+8	Bullish: IVOL, IGV, AMZN, MSFT, gold (AAAU), ENZL, FXE. Bearish: TLT, LQD, QAT .
MOMO Tracker	18 Aug, 20:54 GMT+8	Mag7 -1.1%; 5 of 8 risk ranges show more downside than upside. Our own cap-weighted Mag7 calculation is -0.60%; equal-weighted -0.92%.
Signal Strength Stocks	19 Aug, 01:38 GMT+8	Now 90 names, 6 added, 5 removed. Added JBS, MRVL, URI, ATRO, NBIS, GRUSF. Removed WYFI, TT, RH, CCL, EL.

RISK RANGE™ — EARLY LOOK, 18 AUG	IMMEDIATE-TERM RANGE	TREND	WHERE IT STANDS NOW
UST 10-year yield	4.63 – 4.75	Bullish	4.708 · 65% of band. Band shifted up 2bp at both ends . Intraday high 4.748 tagged the ceiling exactly.
S&P 500 (SPX)	7,676 – 7,815	Bullish	7,691.76 · 11% of band , just 15.8 points off the floor. Ceiling pulled in 9 points overnight; the band is narrowing downward.
Nasdaq Composite	26,103 – 26,893	Bullish	26,289.71 · 24% of band. Floor raised 54 points, so the index fell <i>toward</i> a rising floor — 187 points of cushion left.
Russell 2000 (RUT)	2,995 – 3,088	Bullish	3,017.89 · 25% of band. Band widened both ways. 22.9 points above the floor after closing on its low.
Volatility (VIX)	14.01 – 16.22	Bearish	15.85 · 83% of band. Band compressed <i>and</i> floor lifted 25 cents. Pressing the ceiling against a bearish signal.
US Dollar Index (USD)	99.44 – 100.17	Bearish	99.646 · 28% of band. Both ends lifted overnight (+20bp floor, +6bp ceiling) — the band is drifting up under a bearish TREND.
High Yield (HYG)	79.30 – 79.81	Bullish	79.53 · 45% of band. Floor cut 6 cents, ceiling unchanged. Credit did not flinch: HYG –0.10% on a –4.98% SOX day.
Inv. Grade (LQD)	105.3 – 106.8	Bearish	105.84 · 36% of band. Floor cut 30 cents. Closed <i>up</i> 0.13% on 127% of average volume — an active short McCullough says he is managing, not pressing.
Health Care (XLV)	164 – 171	Bullish	169.73 · 82% of band — the strongest position in the set. Band tightened at both ends around a trending asset. Intraday high 170.30 was a 52-week high.
Equal Weight (RSP)	218.00 – 225.00	Bullish	219.79 · 26% of band. Floor cut a full point overnight — the band moved down to meet the tape.
Software (IGV)	99.00 – 107.00	Bullish	Not captured this run. Ceiling trimmed from 108 to 107. Software materially outperformed semis on the day; flagged under \$18.
Light Crude (WTIC)	76.99 – 87.22	Bullish	\$84.06 · 69% of band. TREND flipped neutral → bullish and the whole band lifted (+1.74 floor, +0.94 ceiling). The single most consequential change in the set.
Natural Gas (NATGAS)	2.52 – 2.85	Bearish	\$2.776 · 78% of band. Band lifted 1–3 cents. Rallying hard inside a bearish signal — the classic place to be wrong.
Gold spot	4,276 – 4,475	Bullish	\$4,341.82 · 33% of band. Floor lifted 73 points and ceiling cut 8 — a sharply narrowing, rising band under a falling price.
Copper spot	6.45 – 6.71	Bullish	\$6.4125 — BELOW THE FLOOR. Band collapsed overnight (floor –5c, ceiling –14c) and price still broke it. The only breach in the set.
Silver spot	62 – 67	Bullish	\$63.3835 · 28% of band. Ceiling cut from 68 to 67 after a –3.31% futures session — the worst major commodity of the day.

Bands are Keith McCullough's published Risk Range™. Signals from the Early Look of 18 August, 07:33 ET (19:33 GMT+8). "Where it stands now" is our own measurement against live prices captured at 06:07 GMT+8, and the band-movement comparison is against the 17 August Early Look. Metals are measured on **spot** and energy on the **continuous contract**, matching the series Hedgeye names — see §18 for why that distinction changes the answer.

What Keith actually said.

- "During a Quad Shift out of #Quad4 and into #Quad3 where Inflation Re-accelerates, Bond Yields go up" — Early Look, 18 Aug, 19:33 GMT+8.
- "This morning UST and JGB Yields are heading towards their TRRs" — i.e. the top ends. He published the JGB 10-year range as **2.84–2.95%**; the tape is reported around 2.95%, at the ceiling. Early Look, 18 Aug.
- "UST Curve is steepening again this morning to new Cycle steeps" and "UST 10yr Yield minus 2yr Yield = +55 basis points after bottoming in late June at +23bps" — Early Look, 18 Aug.
- "UST 10yr vs. BBB Bonds Spread is DOWN 1 beep in the last month = crickets" — Early Look, 18 Aug. Corroborated by HYG closing –0.10% on the day.
- "Oil is reflating (again) this morning and is back to signaling Bullish TRADE and TREND" — Early Look, 18 Aug.
- "Consumer Discretionary (XLY) led losers at -1.2% yesterday to -2.2% YTD" and "We're still short TSLA which is a big component of the XLY" — Early Look, 18 Aug. XLY then fell a further 0.33% on Tuesday.
- "But we'd be buying AMZN on red this morning." — Early Look, 18 Aug. AMZN closed –0.71% at \$259.45.
- On the Macro Show (18 Aug, 23:06 GMT+8), the summary notes record him saying oil is "*up roughly 50% year-to-date*" while stressing Hedgeye manages on cycle-to-date rather than year-to-date, and that he expects the next inflation report to "*surprise the Fed and Wall Street to the upside*", with August CPI nowcasting an acceleration.
- Also on the Macro Show: he remains short TLT and LQD but, with the 10-year near the top of its Risk Range, said he would cover those shorts rather than press them.

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
Apple	310.03	▲ +1.45%	\$4.53tn	The best of the seven and one of the few large-cap greens. Least exposed to the AI-capex balance-sheet question.
Microsoft	481.63	▲ +0.27%	\$3.58tn	Held green on a day its sector fell 2.47%. Named bullish on the Macro Show.
Alphabet	344.20	◆ +0.06%	\$4.20tn	Flat to four decimal places of indifference. Pershing Square is reported to have closed its position in the latest 13F round.
Amazon	259.45	▼ -0.71%	\$2.80tn	The name McCullough said he would buy on red. It obliged, closing 2.5% off its intraday high.
Nvidia	219.74	▼ -2.34%	\$5.32tn	Still the largest company on the board. Fell less than half the SOX — the AI trade discriminated within itself.
Meta	543.67	▼ -4.45%	\$1.39tn	Worst of the seven, on 184% of average volume , closing \$23 above its 52-week low. The 29-state trial opened Tuesday — see §9.
Tesla	336.87	▼ -0.72%	\$1.33tn	Now the smallest of the seven. 32% below its 52-week high and a standing Hedgeye short.

Combined capitalisation **\$23.13 trillion**. Cap-weighted move **-0.60%**; equal-weighted **-0.92%**. Hedgeye's MOMO Tracker published **-1.1%** at 20:54 GMT+8, measured intraday on its own basket — the gap is timing and construction, not a contradiction. Capitalisations are TradingView's market_cap_basic at capture.

6 Positioning & options

- **The volume split is the cleanest positioning tell available.** Cash index volume ran *below* average (S&P 99%, Nasdaq Composite 89%) while every equity future ran *above* it (NQ 119%, RTY 117%, ES 116%, YM 110%). That is hedging and index-level de-risking, not a rush for the exit in individual names.
- **Where real stock did change hands, it was concentrated.** SMH traded **164%** of its ten-day average, SOXX 138%, XLK 136%, Meta **184%**. Against that, XLV traded only 94% — the healthcare bid was price-led, not volume-led, which makes it more likely to be reallocation than fresh conviction.
- **Credit ETFs traded heavy and went nowhere.** LQD 127% of average volume to close *up* 0.13%; HYG 115% of average to close *-0.10%*. TLT, by contrast, traded just **72%** of average. Heavy volume in corporate credit with no price damage, on a day the long bond made a nineteen-year high, is the strongest single argument that the equity market over-read Tuesday.
- **Volatility rose without conviction.** VIX +4.41% to 15.85, high of the day 16.09 — never touching the 16.22 band ceiling. MOVE fell 0.86% to **74.98**. Equity vol nudged, rates vol declined, on the day the whole thesis was supposedly about rates.
- **Hedgeye's own skew turned defensive.** The MOMO Tracker recorded **5 of 8 risk ranges with more downside than upside** at 20:54 GMT+8, and Signal Strength Stocks removed Trane, RH, Carnival and Estée Lauder while adding Marvell, United Rentals and Nebius — rotation within the momentum book rather than a wholesale exit.
- **The after-hours tape did not bounce.** Semis kept leaking: Applied Materials *-1.08%* post-close, SanDisk *-0.85%*, Western Digital *-0.64%*, Intel *-0.43%*, Micron *-0.35%*. SPY *-0.03%* and QQQ *-0.07%*. No overnight repair.

7 Sector rotation — leaders & laggards

SECTOR (SPDR)	LAST	DAY	NOTE
Energy · XLE	63.68	▲ +1.76%	Closed at 63.68 against a 52-week high of 63.71 — three cents away. On 108% of average volume.
Health Care · XLV	169.73	▲ +1.60%	Intraday high 170.30 was a fresh 52-week high. 82% of its Hedgeye band, the strongest in the set.
Staples · XLP	85.58	▲ +1.06%	On 132% of average volume — the defensive bid here was real money, unlike healthcare's.
Financials · XLF	57.84	▲ +0.45%	A steeper curve is a bank's friend. Within 1.0% of its own 52-week high at 58.405.
Communications · XLC	110.48	▼ -0.31%	Held up remarkably given Meta fell 4.45%. Netflix +2.30% did much of the offsetting.
Discretionary · XLY	116.36	▼ -0.33%	The Quad 3 loser by construction — and it still beat the S&P. Second consecutive daily fall.
Utilities · XLU	44.02	▼ -0.36%	The bond proxy that did not work. 7.9% below its 52-week high — long yields are the tax.
Real Estate · XLRE	44.63	▼ -0.45%	Closed two cents off its low. The other rate-sensitive defensive that failed to defend.
Materials · XLB	51.78	▼ -0.88%	

SECTOR (SPDR)	LAST	DAY	NOTE
			Consistent with copper spot breaking its risk-range floor. The cyclical metals complex is not participating.
Industrials · XLI	183.57 ▼ -1.48%		Closed 6 cents off its low. The second-worst sector, and the one least explained by the AI narrative.
Technology · XLK	185.62 ▼ -2.47%		Range 184.33–187.50, on 136% of average volume. 6.6% below its 52-week high.

- **Leaders:** energy, healthcare, staples, financials — four green sectors, all four of them the assets you would hold if you believed inflation re-accelerates and the curve steepens. That is a coherent trade, not a scramble.
- **Laggards:** technology, industrials, materials. The spread between best and worst sector was **423 basis points** in a session where the index moved 68.
- **The rotation has a tell.** Utilities and real estate — the two defensives that are really duration in disguise — both *fell*. Investors did not buy safety; they bought *short-duration cash flows*. Healthcare, staples and energy all deliver cash now. That distinction is the whole session in one line.

8 Forward — futures & the week ahead

Globex reopened at 18:00 ET, seven minutes before capture, and the first prints of the new session are thin but coherent: ES 7,714.00, NQ 29,586.00, YM 53,403, RTY 3,026.40, all carrying Tuesday's losses without extending them. NQ is holding 72 points above its session low of 29,514, and RTY is trading 8.5 points *above* the Russell cash close — a marginal small-cap bid into the reopen. The after-hours single-stock tape was less kind, with the semiconductor complex leaking a further 0.3–1.1% after the bell and no name in the group bouncing. Nothing in the overnight so far argues that Tuesday was a one-session event or that it was the start of something larger; the tape is waiting, and the July FOMC minutes are what it is waiting for.

DAY (GMT+8)	KEY EVENTS
Wed 19 Aug · 12:00	US 50% tariffs on Canadian imports scheduled to take effect. Politico reported Trump is weighing a reprieve; unresolved as of the US close — a live overnight risk.
Wed 19 Aug · 21:30–23:00	US earnings before the open: Target, Lowe's, TJX, Analog Devices, Estée Lauder , Kingsoft Cloud, Viking. Toll Brothers call 20:30. <i>Unconfirmed — secondary calendar.</i>
Wed 19 Aug · 22:30	EIA Weekly Petroleum Status Report. The private survey Tuesday evening reportedly showed a crude draw and a very large distillate draw; magnitudes unverified.
Thu 20 Aug · 01:00	20-year Treasury auction. Direct test of long-end demand the morning after a 19-year high in the 30-year yield.
Thu 20 Aug · 02:00	JULY FOMC MINUTES — the week's main event. Watch how many participants beyond the three named dissenters would have supported a hike, and whether Hormuz energy disruption is named as an inflation risk.
Thu 20 Aug · 09:15	China 1-year and 5-year Loan Prime Rate. Analysts flag that a surprise cut cannot be ruled out after weak July activity data.
Thu 20 Aug · 20:30	US weekly jobless claims (week to 15 Aug) and the Philadelphia Fed Manufacturing Index for August.
Thu 20 Aug · 22:00–22:30	Conference Board Leading Economic Index (July); EIA Natural Gas Storage.
Thu 20 Aug · all day	Earnings: Walmart before the open (consensus \$0.74 on \$186.9bn), plus Alibaba, Deere, NetEase. <i>Unconfirmed — secondary calendar.</i>
Fri 21 Aug · 01:00	30-year TIPS auction (reopening) — a read on real yields at the long end.
Fri 21 Aug · 07:30	Japan national CPI (July). Lands directly into the September BOJ hike debate.
Fri 21 Aug · 21:45	S&P Global flash US manufacturing and services PMIs for August — the first hard August activity read.
Thu 27 - Sat 29 Aug	Jackson Hole. Chair Warsh delivers his first symposium keynote on Friday 28 August. Theme: financial innovation and payments.
Tue 15 - Wed 16 Sep	FOMC decision with a new SEP and dot plot. With formal forward guidance abolished, the dots are now the only forward guidance that survives.

9 Corporate news

- **Meta's 29-state child-safety trial opened Tuesday** in the Northern District of California, led by the attorneys general of California, Colorado, New Jersey and Kentucky, alleging the company designed Facebook and Instagram to be addictive and collected data from under-13s without parental consent. The states are reported to be seeking upwards of **\$200bn**; Meta says the figure sought is **\$1.4 trillion** — approximately its entire market capitalisation

— and that the demands are "*vastly disproportionate*." The trial is scheduled to run six to eight weeks, with 25 further states to follow. Meta fell 4.45% on 184% of average volume.

- **Baidu fell sharply after a Q2 miss on every line.** Revenue RMB 31.3bn against RMB 31.96bn expected, non-GAAP EPS per ADS RMB 7.22 against RMB 9.92. The number that matters: **core advertising revenue –19% year on year**, a fourth consecutive quarter of 15–21% declines, as search users migrate to AI chatbots. AI Cloud grew 50% and GPU Cloud 283% — not yet enough to offset. *Price move press-reported, not captured.*
- **Eli Lilly rose 3.60% to \$1,225.73 on two pipeline deals.** It acquired global rights to AlzeCure's Alzheimer's candidate ACD680 for \$10m upfront with total potential value above \$1bn in milestones plus mid-single-digit royalties, and signed an ion-channel collaboration with OmniAb worth up to \$370m in milestones. Both are low-upfront, milestone-weighted structures that reload early-stage pipeline without denting near-term margin.
- **Johnson & Johnson rose 3.33% to \$271.11 on no company news at all** — within 1.4% of a 52-week high, purely on rotation. Worth stating plainly: the second-best mega-cap move of the session had no catalyst beyond where money was coming from.
- **Targa Resources was reported as the S&P 500's best performer**, up 6.7–7.4%, after announcing 20-year fee-based midstream agreements with ExxonMobil subsidiaries in the Permian Basin. *Price move press-reported, not captured.*
- **Oracle fell 2.63% to \$142.79**, now roughly 59% below its 52-week high of \$345.72. The standing issue is balance sheet, not demand: S&P cut Oracle to BBB– on 9 July, one notch above high yield, naming OpenAI — nearly half of the record \$638bn backlog — as a key credit risk, against FY26 free cash flow of –\$23.7bn and roughly \$167bn of total debt. Rising long yields are a direct problem for the most leveraged AI builders.
- **ABC sued the FCC in the DC district court**, alleging First Amendment violations and describing the agency's investigation as a "*retaliatory campaign*" over programming critical of the President, following an early licence-renewal review of several ABC stations.
- **After the close.** Keysight beat and guided far above consensus — Q4 revenue midpoint ~\$1.94bn against ~\$1.82bn expected, adjusted EPS \$3.34–\$3.40 against ~\$2.69 — and rose about 3.5% after falling 7.3% during the session. Toll Brothers beat modestly at \$2.97 against \$2.93, reaffirmed all FY26 guidance and raised its buyback target from \$650m to \$700m; shares little changed. La-Z-Boy fell as much as 17% on a 3% sales decline and \$0.43 adjusted EPS against ~\$0.49 expected. Jack Henry rose ~3%; Mercury Systems fell ~12% despite record bookings. *All after-hours moves in this bullet are press-reported and were not independently captured.*

10 Macro data

- **July housing starts collapsed: 1.239m annualised, –12.4% month on month, against consensus of 1.350m** and a prior 1.427m revised down to 1.415m. A 111,000-unit miss. Single-family starts fell 9.9% to 808k; completions fell 9.1% to 1.212m and are down 16.8% year on year.
- **Building permits went the other way: 1.443m, +5.0%, against 1.370m expected** — a 73,000 beat. Permits and starts diverging by this much in one release says builders are still planning but have stopped digging. Watch which one converges.
- **Import prices –0.4% month on month against +0.1% expected**, the largest monthly drop since May 2025, driven by fuel; still **+5.9% year on year**. Export prices –1.3% against +0.2% expected. Two clean misses in the disinflationary direction, which sits awkwardly against the Quad 3 reflation thesis.
- **Industrial production +0.2% against +0.3% expected**; capacity utilisation 76.3%, exactly in line. Manufacturing ex-motor-vehicles +0.4%.
- **Pending home sales –2.3% month on month, in line with the –2.3% expected**, and the lowest since January 2026, down in all four regions. NAR's Lawrence Yun: "*The highest mortgage rates of the year hit right in the middle of summer, and that's pulling back contract signings.*"
- **Monday's two prints both beat.** Empire State manufacturing 20.6 against 11.0 expected and a 15.6 prior — its highest in more than four years. NAHB builder sentiment 35 against 33 expected, up from 34, with 35% of builders still cutting prices at an average 6%.
- **The Atlanta Fed cut its Q3 GDPNow estimate to 4.03% from 4.31%** on Tuesday. Not a consensus-benchmarked release, but the direction is the point.
- **The Fed is at 3.50–3.75% and the argument is about a hike.** The 29 July hold was **9–3**, with Hammack, Kashkari and Logan all dissenting *for a 25bp increase*. The statement's closing line was unusually flat: "*The Committee will deliver price stability.*" Market-implied odds of a September hike are roughly **30%**, down from a late-July peak above 80% after payrolls printed –23,000 and retail sales –0.6%.

11 Geopolitics

- **▼ The US-Iran memorandum of understanding lapsed on Monday 17 August without extension.** President Trump said he would not seek one, told Iran to "*put up the white flag of surrender*," and said on Tuesday there are no talks under way or scheduled and that the naval blockade remains in force. A senior Iranian official said Tehran has shifted to a fully offensive posture. This is the single largest input into the oil price and, through diesel, into the US inflation print.

- **◆ The two sides directly contradict each other on whether the Strait of Hormuz is open.** Trump says it is open and operating, with mines removed or detonated; Iran maintains it remains closed until its conditions are met. Both claims are attributed, neither is verified here. UKMTO separately reported a vessel struck by a projectile while sailing out of the strait.
- **▼ Trump threatened to bomb Oman** — the mediator on strait-transit mechanics — if it obstructs Hormuz negotiations, a party to which the US is not. Qatar said an Iran–Oman agreement could open a path to broader US–Iran talks.
- **▼ The UAE halted all trade, commercial and financial transactions with Iran**, citing regional escalation after accusing Iran of firing missiles at it. Iran's foreign ministry rejected the accusation as unfounded and alleged false-flag operations. Contested on both sides.
- **◆ US 50% tariffs on Canadian imports were scheduled for 19 August** with negotiators still meeting; Politico reported a reprieve is under consideration. Unresolved at the US close and therefore a genuine overnight event for the Canadian dollar and for cross-border industrials.
- **▼ Energy infrastructure remains a live target.** The Houthis claimed a third attack on a Saudi Aramco refinery in two weeks; Ukraine struck Gazprom's 200,000 bpd Salavat refinery; a drone attack hit a power plant at a key Libyan oil hub. Russia reportedly received its first gasoline cargo from India as domestic fuel shortages spread.
- **▲ Korea's security relationship is being repriced.** Trump ordered a sharp reduction in the scale of US–South Korea joint military exercises, announced Sunday 16 August, citing cost. Scale unspecified. It arrives with the KOSPI already down 22% in July and August turnover at roughly half May–June levels.

12 Overnight setup — what Asia opens into

INSTRUMENT	LIVE LEVEL	CHANGE	VOLUME VS 10D AVG
ES · E-mini S&P	7,714.00	−0.71%	1,217,841 · 116%
NQ · E-mini Nasdaq	29,586.00	−1.69%	555,950 · 119%
YM · E-mini Dow	53,403	−0.26%	59,409 · 110%
RTY · E-mini Russell	3,026.40	−1.26%	137,921 · 117%
USD/JPY	159.585	−0.01%	—
USD/KRW	1,412.29	−0.21%	—
USD/TWD	31.8756	+0.27%	—
USD/CNH	6.74593	−0.01%	—
EUR/USD	1.15759	+0.01%	—
Gold spot	\$4,341.82	—	—
Silver spot	\$63.3835	—	—
Copper spot	\$6.4125	—	—
WTI crude	\$84.06	−0.52%	192,112 · 82%
Brent crude	\$91.02	+0.17%	22,037 · 67%
Bitcoin	\$64,521.67	+0.07%	—
Ether	\$1,911.28	−0.01%	—

*FX, spot-metal and crypto change columns measure from the most recent session roll and are minutes old, not full-day moves; the levels are live. Crude volumes are below average because Globex had been open seven minutes at capture. Previous Asian cash closes below are marked as such and are **not** live.*

- **The US tape hands Asia a semiconductor problem and a defensive bid.** SOX −4.98%, XLK −2.47%, against XLE +1.76% and XLV +1.60%. For Asia that mapping is unbalanced: Korea and Taiwan are overwhelmingly the former and barely the latter.
- **Previous close, Japan:** the Nikkei 225 closed **67,460.51, −2.54% (−1,759.52)** on Tuesday — a heavier fall than anything in the US, driven by the same semiconductor names plus a 10-year JGB yield at a three-decade high. With USD/JPY at 159.585 and unchanged overnight, Tokyo has no currency relief to open into.
- **Previous close, Korea:** the KOSPI closed **6,869.84, −1.55%**, having opened *up* 2.15% at 7,127.77 and touched 7,216.62 — a peak-to-trough round trip of about 4.8% in one session, with institutions net sellers of ₩784.9bn. Samsung Electronics fell 2.19%; SK hynix rose 1.03%. Samsung and SK hynix together are roughly half of KOSPI capitalisation, so Tuesday's US memory rout maps almost directly onto the index.
- **Previous closes elsewhere:** Hang Seng 25,471.16 (+0.07%), Shanghai Composite 3,990.30 (+0.19%), ASX 200 9,070.00 (−0.04%), Sensex 77,235.46 (−0.63%). Greater China was the only regional bloc that did not participate in Tuesday's decline, and USD/CNH at 6.74593 sits near its 52-week low.
- **Europe closed weak and will reopen into the same problem:** DAX 26,128.36 (−0.80%), CAC 8,509.36 (−0.82%), Euro Stoxx 50 6,468.18 (−0.95%), IBEX 19,934.89 (−0.24%). The FTSE 100 was the outlier at 10,728.05 (+0.07%) — energy weighting doing exactly what it did for the Dow.

- **The single instrument most likely to move is the Korean won, and behind it Samsung.** The won strengthened 0.21% overnight to 1,412.29 despite a 1.55% index fall — a currency refusing to confirm the equity move. If Seoul opens down again on the US semiconductor tape and the won holds, the divergence is foreign flows staying put; if the won gaps weaker, it is not. USD/TWD, up 0.27%, is already leaning the other way.

13 AI watch

- **The number that moved markets was a revenue beat that felt like a miss.** Anthropic told investors annualised revenue reached **\$65bn** at end-July. On Monday, Bloomberg had reported Q2 revenue above **\$11.5bn**, up more than fourteenfold from \$787m a year earlier, with positive adjusted operating income for the first time — and that powered Monday's memory-led rally. Tuesday's \$65bn undercut a buy-side whisper that Gavin Baker put publicly above \$80bn. The gap between what was announced and what was priced is the entire move.
- **The Wall Street Journal put a number on the thing nobody had a number for.** Nine large technology companies carry roughly **\$3 trillion of off-balance-sheet commitments**, mostly AI-related, growing faster than the roughly \$600bn of reported capex over the past reported year and about **triple** their combined leases and long-term borrowings. Once that figure exists, every AI-adjacent balance sheet gets re-underwritten against it.
- **The financing channel is now explicit.** High Frequency Economics' Carl Weinberg told CNBC that AI infrastructure borrowing is competing with governments for the same pool of savings. That is the loop: AI capex issues debt, debt lifts long yields, long yields compress the multiple on the AI capex. Tuesday was that loop closing in a single session.
- **Baidu is the first large-cap casualty of AI substitution rather than AI spending.** Core advertising fell 19% year on year, a fourth consecutive quarter of 15-21% declines, explicitly attributed to users migrating from search to chatbots — while its own AI Cloud grew 50% and GPU Cloud 283%. The replacement business is growing fast and is still not big enough. That is the template every incumbent search-adjacent business should be modelled against.
- **The demand evidence, where it exists, is strong.** Keysight guided Q4 revenue roughly \$120m above consensus and adjusted EPS roughly 25% above, with its AI infrastructure business sized at \$500-600m and first-half FY26 AI revenue already exceeding all of 2025. Deutsche Bank's Melissa Weathers argues this memory cycle *"is different than others,"* expecting DRAM supply tight through 2027 into 2028. ClearBridge's Divya Mathur told Reuters the volatility *"appears disconnected from any material change in long-term fundamentals."*
- **Consolidation continues at scale.** SpaceX completed its **\$60bn** acquisition of Cursor, vertically integrating the application layer with its own compute. Deutsche Bank reiterated Buy with a \$235 target on the enterprise reach and the data flywheel from more than a million users.

14 Beyond the markets

- **US federal debt crossed \$40 trillion this week, months earlier than forecast.** The July deficit was \$432bn; the fiscal year-to-date total is already about \$1.8 trillion with two months to run, exceeding the whole of FY2025. Interest cost over the past year ran near **\$1.4 trillion, up 13%**. Nobody traded on it Tuesday. Everybody traded on its consequence.
- **Real wages have now been negative for four consecutive months** — CPI at 3.4% against wage growth of 3.2%. Headline inflation is described as contained; the household experience of it is not, and July retail sales at -0.6% against +0.1% expected was the first decline since October 2025.
- **Diesel is the inflation story nobody leads with.** Cracks reportedly topped \$100/bbl for the first time on record on Tuesday, with retail diesel around \$5.41. Diesel is freight, agriculture and construction — it enters the price level with a lag and through every channel at once. The energy CPI component is already running +14.7% year on year, with gasoline +24.6% and fuel oil +39.1%.
- **Gulf-to-China supertanker rates are reported at \$510,000 a day**, and the US strategic petroleum reserve is at its lowest since 1982. The usual pressure valve for an oil shock has been used.
- **The Korean equity market is thinning out.** August turnover has fallen to roughly ₩25.7tn a day, about half the May-June level and the lowest this year, as retail investors sit out after leveraged-ETF losses in a July that took the index down 22%. A market that is half as liquid delivers twice the range on the same flow — which is exactly what Tuesday's 4.8% intraday round trip was.
- **Meta's trial is being framed as social media's tobacco moment**, and the precedent is not hypothetical: a New Mexico jury already found the platforms harmful to children's mental health, with a \$375m fine followed by a further \$567m imposed by the judge. Meta is appealing. Twenty-five more states are queued behind the twenty-nine now in court.

15 Appendix — stock cards

NVDA · NVIDIA

219.74 -2.34%

Cap \$5.32tn · 52w 164.07-236.54 · no Hedgeye single-name band published · next: Q2 earnings, date unconfirmed

The largest company on the board fell less than half as much as the index it anchors. Volume was 96% of average — this was not where the selling happened. Sits 7.1% below its 52-week high with the whole complex around it far weaker.

MU · MICRON TECHNOLOGY

940.76 -7.02%

Cap \$1.06tn · 52w 113.46-1,255.00 · volume 110% of average · reported YTD gain c.+255% into Monday

Range 926.64-978.67, a 5.5% intraday swing, with no company-specific news. A stock that has more than tripled this year gave back 7% on a sentiment datapoint. Kept leaking to 937.51 after the bell.

AMD · ADVANCED MICRO DEVICES

484.39 -4.27%

Cap \$791bn · 52w 149.22-584.73 · volume 96% of average

Low of 474.975, closing 2% off it. Fell almost twice as hard as Nvidia on below-average volume — a positioning unwind in the second-derivative AI name rather than a considered de-rating.

ORCL · ORACLE

142.79 -2.63%

Cap \$411bn · 52w 114.50-345.72 · volume 75% of average · S&P rating BBB-, cut 9 July

Now 58.7% below its 52-week high and 24.7% above its low. Free cash flow of -\$23.7bn in FY26 against ~\$167bn of debt makes this the most rate-sensitive equity in the AI complex. Higher long yields hit here first.

JNJ · JOHNSON & JOHNSON

271.11 +3.33%

Cap \$653bn · 52w 173.33-274.90 · volume 125% of average · no company news

A 3.3% move in a \$650bn defensive with nothing announced, on 125% of average volume, closing 1.4% below its 52-week high. Pure rotation, and the size of it is the signal about how fast money left duration.

META · META PLATFORMS

543.67 -4.45%

Cap \$1.39tn · 52w 520.26-790.80 · volume 184% of average · next: trial runs 6-8 weeks

Closed \$23.41 above its 52-week low, 31% below its high, on the heaviest relative volume of any large cap. The 29-state trial is a multi-week overhang with a headline damages claim Meta itself puts at \$1.4tn. Held +0.19% after hours.

INTC · INTEL

96.685 -6.58%

Cap \$488bn · 52w 22.775-142.35 · volume 121m, 111% of average

Carrying dilution from the \$20bn equity raise that closed 12 August at \$95, which BofA sized at 4-5% EPS dilution, plus a UBS target cut to \$112. Trading 1.8% above that placement price — the marginal buyer of that stock is now under water.

SNDK · SANDISK

1,625.78 -9.01%

Cap \$241bn · 52w 43.20-2,354.39 · volume 114% of average · reported YTD gain c.+653% into Monday

The worst large-cap decline of the session. A 7.8% intraday range on a stock reported up more than sixfold this year. Fell a further 0.85% after hours. This is what a crowded trade unwinding looks like before anything is actually wrong.

LLY · ELI LILLY

1,225.73 +3.60%

Cap \$1.15tn · 52w 685.15-1,249.45 · volume 88% of average

Within 1.9% of a 52-week high, up 78.9% from the low. Two milestone-weighted deals — AlzeCure's ACD680 and an OmniAb ion-channel programme — added pipeline without near-term margin cost. The clearest single-name catalyst on the green side.

AAPL · APPLE

310.03 +1.45%

Cap \$4.53tn · 52w 223.78-344.57 · volume 129% of average

Best of the Mag7 on 129% of average volume — the defensive bid reached the largest, least capex-levered technology balance sheet. Range 305.74-311.49, closing near the high, the opposite pattern to almost everything else on the board.

16 About this edition

- **Covers** — the US cash session of Tuesday 18 August as settled at 16:00 ET, the after-hours tape, the Globex reopen to 06:07 GMT+8, and the full Hedgeye evening publication set.
- **Captured** — one window, **06:07:21-06:07:24 GMT+8, 2.6 seconds**, via capture.py querying TradingView and Yahoo Finance concurrently. Yahoo aborted on its circuit breaker; divergences and single-sourcing are documented in §18.
- **Settled vs live** — the five cash equity index rows and all single-stock and sector rows are **settled** Tuesday closes. Futures, Treasury yields, FX, spot metals, VIX, MOVE and crypto are **live** at 06:07 GMT+8.
- **Hedgeye edition** — **FULL HEDGEYE EDITION**; the logged-in feed was reached without incident. The live risk-range set is the Early Look of **18 August, 07:33 ET / 19:33 GMT+8, "#Quad3 Bonds, Oil, Consumer, etc."**, by Keith McCullough. Tonight's Early Look at roughly 19:30 GMT+8 supersedes it. Also read: the Macro Show summary and replay notes (23:06 GMT+8), MOMO Tracker (20:54), Capital Allocation Pro model-portfolio changes (20:00), ETF Pro Plus changes (23:23), Signal Strength Stocks (01:38 GMT+8 today) and the 17 August Early Look for the band-movement comparison.

- **Quad path — 3 → 1 → 2, unchanged.** #Quad3 now, monthly Quads 1 and 2 in September and October, #Quad2 in Q4 2026. No change to flag this morning.
- **Not available** — Yahoo Finance (rate-limited), the IGV level, and independent capture of after-hours single-stock earnings reactions.

17 Sources

Prices. TradingView bulk scanner, 96 instruments, 06:07:21–06:07:22 GMT+8, via capture.py. Yahoo Finance was attempted concurrently at 06:07:21–06:07:24 and aborted on a five-consecutive-429 circuit breaker, returning nothing. Treasury yields from TVC US02Y, US03MY, US05Y, US10Y, US30Y; metals bands measured on TVC GOLD, TVC SILVER and OANDA XCUUSD spot; energy bands on NYMEX CL1! and NG1!.

Hedgeye. The logged-in app feed: Early Look 18 and 17 August, The Macro Show summary notes and replay for Tuesday 18 August, MOMO Tracker, Capital Allocation Pro, ETF Pro Plus and Signal Strength Stocks, all read between 06:10 and 06:30 GMT+8.

Macro and policy. US Census Bureau (housing starts and permits, release CB26-127), Bureau of Labor Statistics (import and export prices), Federal Reserve G.17 (industrial production), National Association of Realtors (pending home sales), Federal Reserve Bank of New York (Empire State), NAHB, Federal Reserve Bank of Atlanta (GDPNow), and the FOMC statement of 29 July. Consensus figures and market-implied policy odds via InvestingLive, CME FedWatch and Reuters.

Session narrative and single stocks. Reuters, CNBC, TheStreet, Barron's, Motley Fool, StockStory, 24/7 Wall St, Invezz, TipRanks and TradingKey, plus primary filings on SEC EDGAR for Toll Brothers, Jack Henry and Mercury Systems, and company releases for Eli Lilly, Keysight and Baidu.

Commodities, geopolitics and AI. OilPrice, the EIA weekly schedule, UKMTO advisories, Associated Press and Reuters wires on US-Iran and Hormuz, Yonhap and Korea JoongAng Daily on Korea, Business Standard and Nikkei Asia on Japan, OMFIF and CNBC on the yen intervention, and the *Wall Street Journal* analysis of off-balance-sheet AI commitments as reported by 24/7 Wall St.

18 Data-confidence

CROSS-CHECKS PASSED

- **Cash index arithmetic is self-consistent on all five equity rows.** S&P $7,691.76 + 53.30 = 7,745.06$ prior close, and $-53.30/7,745.06 = -0.688\%$. Nasdaq Composite $26,289.71 + 355.20 = 26,644.91$, giving -1.333% . Dow $53,343.40 + 116.38 = 53,459.78$, -0.218% . Russell $3,017.89 + 39.65 = 3,057.54$, -1.297% . SOX $11,992.47 + 628.53 = 12,621.00$, -4.980% . Every one recomputes to the printed percentage.
- **Every futures row ties to its prior settle.** ES $7,714.00 + 54.75 = 7,768.75$; NQ $29,586 + 510 = 30,096$; YM $53,403 + 141 = 53,544$; RTY $3,026.40 + 38.50 = 3,064.90$. The ES basis to cash is $+22.24$ points, which is a normal fair-value carry and not a dislocation.
- **The 2-year yield was captured directly, not inferred.** TVC:US02Y at 4.177% against the 10-year at 4.708% gives 10s2s of **+53.1bp**. Computing it backwards from Hedgeye's own published spread would be circular; this is an independent measurement, and it lands 1.9bp below McCullough's "+55 basis points" written some ten hours earlier, which is the curve flattening slightly off the cycle steep rather than a disagreement.
- **Two external cross-checks on the capture landed cleanly.** Our USD/KRW of 1,412.29 sits within 0.5 won of the 1,411.8 Seoul close reported by Yonhap. Our VIX close of 15.85, $+4.41\%$, matches the 15.86, $+4.41\%$ reported independently in the session wraps. Neither figure came from the same feed.
- **The capture.py reconciliation table reads 0 matched · 0 minor · 0 divergent · 57 single-sourced.** No pair could be compared because Yahoo returned nothing. There are therefore no divergent rows to resolve — not because the two sources agreed, but because only one spoke. That is a weaker state than a clean reconciliation and is treated as such throughout.
- **Volume ratios were computed against TradingView's own 10-day average field** for every instrument quoted, rather than estimated: ES 116%, NQ 119%, RTY 117%, YM 110%, SMH 164%, SOXX 138%, XLK 136%, META 184%, LQD 127%, HYG 115%, TLT 72%, S&P cash 99%, Nasdaq Composite cash 89%.

KNOWN CONFLICTS AND WEAK MARKS

- **The single-sourcing is the dominant weakness of this edition.** Yahoo Finance blanket-429'd — five consecutive rate-limit responses inside 2.6 seconds — so all 57 comparable instruments are TradingView-only. The 14 August precedent is the reason this matters: that run shipped single-sourced and, on later reconciliation, found six defects invisible from inside one feed, including a SOX level 125 points wrong and a VIX bar returned as 0.00. Nothing in this morning's data looks anomalous, but "looks fine from inside one source" is precisely the condition under which those six errors also looked fine.
- **Spot versus futures changes the Hedgeye answer materially, and this brief uses spot.** Measured on futures instead of the spot series Hedgeye names, gold would read **72.7%** of its band rather than the true **33.1%** — a 39.6-percentage-point error. Copper would read 16.3% and appear comfortably inside its range, when spot at 6.4125 is in fact **below the 6.45 floor**: the signal inverts entirely. Silver would read 40.7% against a true 27.7%. The gold basis alone is 1.81% (spot 4,341.82 versus futures 4,420.60).
- **Natural gas is our one live conflict.** We captured NYMEX NG1! at **\$2.776, +3.20%**, with a session range of 2.692–2.796. Public quotes circulating for 18 August show roughly \$2.70 to \$2.737. The likeliest explanation is a contract-month or timestamp difference — our figure is the continuous front contract at 06:07 GMT+8, after the Globex reopen. We print our captured figure because it is what we saw and it is the series Hedgeye's band names, but a reader should treat the $+3.20\%$ as the least corroborated percentage in section 1.
- **All FX, spot-metal and crypto percentage changes measure from the 17:00–18:00 ET session roll, not from Tuesday's open.** This is why EUR/USD shows $+0.007\%$ and USD/JPY -0.014% : those are minutes of trading, not a day. The

levels are live and correct. Day-direction for metals is therefore taken from the futures and ETF rows, which do carry a full session, and is labelled as such in the table.

- **Mag7 aggregate moves are our calculation and disagree with Hedgeye's.** We compute **-0.60%** cap-weighted and **-0.92%** equal-weighted from captured closes; the MOMO Tracker published **-1.1%** at 20:54 GMT+8. That is an intraday measurement on Hedgeye's own basket construction against our settled-close measurement. Both are printed; neither is presented as the other's correction.
- **Market capitalisations are TradingView's market_cap_basic field** and will differ by a fraction of a percent from float-adjusted index-provider figures depending on share-count vintage. The \$23.13tn Mag7 aggregate should be read as accurate to roughly $\pm 0.5\%$.
- **Several figures are press-reported and were not independently captured.** All after-hours earnings reactions in §9 (Keysight $\sim +3.5\%$, La-Z-Boy $\sim -17\%$, Jack Henry $\sim +3\%$, Mercury $\sim -12\%$, Toll Brothers little changed), the Targa and Baidu price moves, the diesel crack above \$100/bbl, the 30-year auction clearing near 5.22%, the 10-year JGB near 2.95%, and the reported year-to-date gains for Micron and SanDisk. Each is labelled where it appears. The "oil up roughly 47-50% year-to-date" figure is McCullough's own, quoted from the Early Look and the Macro Show, and is not independently verified here.
- **The IGV level was not captured**, so Hedgeye's 99.00-107.00 software band is printed without a position measurement. The band-movement comparison (ceiling trimmed from 108) is solid; the standing is not stated because we do not have the number.

KNOWN GAPS

- **Yahoo Finance was entirely unavailable**, which removes both the independent price cross-check and the multi-day daily bars used for week-on-week context. There is consequently no week-on-week framing anywhere in this edition.
- **No FOMC speaker could be confirmed for 17 or 18 August.** Searches of the Fed's own calendar and the wires returned none; the most recent on-record remarks are Goolsbee on 14 August and Hammack on 11 August. **Absence of a confirmed speaker is not evidence that none spoke** — the Fed's August calendar page could not be fetched directly, and a speech may exist that we did not see.
- **Equally, absence of a Hedgeye position change is not evidence there was none.** We read the published feed items listed in §16. Real-Time Alerts, Chart of the Day and any long-form guest piece were not individually opened this morning, and Capital Allocation Pro's model-portfolio changes were noted from the feed listing rather than read in full. A position change may have been published that this brief does not reflect.
- **Wednesday's US earnings calendar is from a secondary source** (Kiplinger, sourced to Briefing.com) and is explicitly marked unconfirmed in §8. Only the Toll Brothers, Target, Estée Lauder and Analog Devices call times are company-confirmed.
- **Two items were investigated and deliberately excluded** rather than printed: a reported -32% move in Bio-Rad, for which no corroborating corporate action could be found, and a reported -8.6% in Coterra Energy that appeared identically across repeated page loads and contradicts an energy sector that closed $+1.76\%$. Both look like stale or erroneous feed data.
- **Asian and European cash markets are closed.** Every regional index level in §12 is a previous close and is labelled as such. Tokyo opens at 08:00 GMT+8, Seoul 08:30, Hong Kong 09:30, India 12:15 — all after this brief is delivered.
- **API crude inventory magnitudes could not be extracted** (the source table is an image). The direction — a crude draw and a large distillate draw — is reported; the numbers are not printed.

TIMING & UNVERIFIED

- **The capture window was 06:07:21-06:07:24 GMT+8 — 2.6 seconds.** Every live price in this document was observed inside that window. No top-up pass was needed and no row carries a separate capture time.
- **Globex had been open for seven minutes at capture.** Futures prints are live but genuinely thin, and crude volumes at 82% and 67% of average reflect the reopen rather than a demand signal. Treat the first hour of the new session as unrepresentative.
- **Hedgeye's risk ranges will be superseded tonight.** The Early Look of 18 August is the live set as of now; the 19 August edition publishes at roughly 19:30 GMT+8, about thirteen and a half hours from delivery. Every band in §4 should be treated as having a known expiry.
- **The three scheduled events most likely to invalidate this brief** are the US-Canada tariff deadline at 12:00 GMT+8 today, the EIA petroleum report at 22:30, and the July FOMC minutes at 02:00 GMT+8 Thursday. The tariff decision was unresolved at the US close and could move before Asian markets have finished their session.
- **Prices in this document are already ageing.** Verify live prices before acting on anything here. This brief is information only and is not investment advice.